THE UNITED REPUBLIC OF TANZANIA
THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
NAMANGA FORM THREE PRE-MIDTERM EXAMINATION

COMMERCE

Time: 2½ Hours **August 2024**

Instructions;

1. This paper consists of three sections A, B and C with a total of **eleven (11)** questions.
2. Answer **all** questions in sections A and B and any two (2) questions in section C.
3. Section A carries **sixteen (16)** marks, section B **fifty-four (54)** marks and section C **carries thirty (30)** marks.
4. Cellular phones and any unauthorized materials are **not** allowed in the examination room.
5. Write your **Name** on every page of your answer sheets.

SECTION A (16 Marks)
Answer All Questions

1. For each of the following items (i) to (x), choose the most correct answer from among the given alternatives and write its letter in the answer sheets provided;

   i. Shilole owns a very famous restaurant known as 'Seypalm food' at Kinondoni Dar es Salaam; she has been dedicating so much time and working very hard every day to make her business successful. When interviewed by Wasafi FM and asked the secret for her hard work; she said that, her business is very important to her as it has enabled her to live an independent life. What type of motivation does Shilole possess?
   A. Locomotive motivation.
   B. Social motivation.
   C. Intrinsic motivation.
   D. Extrinsic motivation.
   E. External motivation.

   ii. Mr. Seypalm, the deputy headmaster, wishes to send a request to the Julius Nyerere airport for organizing a study tour for the form four-project works. What business communication document can he use?

A. Business report.
B. Memorandum.
C. Order form.
D. Business letter.
E. Tax returns.

iii. Palm is a business man at Kariakoo, selling electronic equipment. He recently took loan from Mkombozi bank, which he will pay back for 15 to 20 years. This type of loan is known as;
A. Short term loan.
B. Term loan.
C. Overdraft loan.
D. Medium term loan.
E. Long term loan.

iv. When the price of soda rises from TZS 500 to TZS 1,000, the demand reduced from 50 crates to 40 crates. What type of elasticity of demand is this?
A. Elastic.
B. Perfectly inelastic.
C. Inelastic.
D. Unitary.
E. Perfectly elastic.

v. Mzuzu herbal clinic has discovered a powerful medicine which is capable of treating COVID 19. Which advertising media can give the clinic access to the people across the world?
A. Digital billboards.
B. Window display.
C. Direct mail.
D. Internet.
E. Posters.

vi. Mama Bokeye produces a liquid soap called 'Komesha'. In recent time, she has experienced a rapid increase in sales and profit for the soap. This is which stage of the product life cycle?
A. Maturity stage.
B. Production stage.
C. Decline stage.
D. Growth stage.
E. Boom stage.

vii. Seypalm, a trader in Tanzania exports dairy products to Zambia; the products were previously imported from Kenya. What type of trade is this?
A. Entrepot trade.
B. Import trade.
C. Small scale trade.
D. Export trade.
E. International trade.

viii. Kilawe, a trader in Zanzibar hired a ship from Azam marine transport Company for three month time ending 31st March 2021 at an agreed chartered freight of TZS

3,000,000. Due to congestion at Dar es Salaam port, the ship was still unloaded until expiry of the hired time; what measures will be taken against Kilawe?

A. The cargo on board will be confiscated by the ship owner.
B. He will return the ship and the cargo to the ship owner.
C. He will be sued to court for such a delay.
D. He will legally pay extra import duty for such a delay.
E. He will pay extra freight to the ship owner.

ix. Tax authority kept one of the machines from Indonesia until the payments of all import tariffs are settled. Where the machine is kept?

A. Silos or giant bin.
B. Warehouse.
C. Public warehouse.
D. Bonded warehouse.
E. TRA's warehouse.

x. Mr. Hamnazo, an exporter from China sold two cars to Mr. Haeleweki, a Tanzanian importer. When the cars arrived Mr. Haeleweki failed to pay for them; Mr. Hamnazo wants to authorize his agent to sell the goods at the best price possible to any other person in Tanzania. Which document should he send to his agent?

A. Letter of credit.
B. Letter of indemnity.
C. Letter of hypothecation.
D. An indent.
E. A pro forma invoice.

2. Match the explanations of international trade documents in **Column A** with the names of the documents in **Column B** by writing the letter of the correct response in the answer sheets provided.

Column A		**Column B**
(i)	It is prepared by shipping company to notify the exporter the date when the goods are to be delivered to the dock for loading.	A. Bill of entry. B. Bill of sight. C. Mate's receipt. D. Bill of lading. E. Dock warrant. F. Calling Forward Note. G. Ship's Manifest. H. Charter Party.
(ii)	It is temporarily issued by the shipping company to the exporter acknowledging the receipt of goods for shipment.	
(iii)	It is prepared by the shipping company showing the details of the crew, passengers and cargo shipped presented to the customs office before offloading.	
(iv)	It is prepared by the customs office to the importer who makes declaration of the arrival of goods for payment of import duties and other charges.	
(v)	It is prepared by the customs office to the importer after inspecting the cargo received for payment of import duties and other charges.	
(vi)	It is issued by the warehouse officer acknowledging the receipt of goods in a bonded warehouse.	

SECTION B (54 Marks)
Answer All Questions

3. Assume you have been shortlisted in an interview with Mapembelo Cargo a shipping company between Dubai and Tanzania. How would you explain the following to the interviewees and secure the competitive job opportunity?
   (a) Full Container Load (FCL).
   (b) Liners.
   (c) Tramps.
   (d) Charter Party.
   (e) Dry Port.

4. Relate the following terms as used in the production processes;
   (a) Production and productivity.
   (b) Costs and profits.
   (c) Production and costs.
   (d) Productivity and costs.
   (e) Production and production resources.

5. Your teacher has assigned you, two weeks' field work to pass through surrounding community and assess salesmen available. Together with other information in your report, detail three kinds and three qualities possessed by these traders.

6. There is a debate in a parliament of a certain country with a motion 'international trade barriers should be eliminated'. As a business expert, respond to one of the among members of parliament who has approached you in order to get assistance on how he can contribute the discussion on the following;
   (a) Three trade barriers that should be eliminated; and
   (b) Three positive effects of eliminating the barriers.

7. Palm is wishing to start a small-scale business, but his capital is not enough to acquire or construct a fixed shop. Briefly explain to him any six types of business he can run without a fixed shop.

8. Your brother (Masanja) is a businessman who has presented to you the following information for the year ending 31st December 2022;

	TZS
Sales	10,000,000
Opening stock	1,000,000
Closing stock	25% of sales
Gross profit on cost	33.33%

   Using above information; assist him to determine and interpret the following;
   (a) Gross profit.
   (b) Cost of sales.
   (c) Purchases.
   (d) Rate of stock turnover.
   (e) Gross profit on sales.

SECTION C (30 Marks)
Answer Any Two (2) Questions

9. People find life difficult due to persistent increasing in the general price level. As an upcoming economist, suggest any six monetary measures to fight against this situation.

10. Loan is one of the sources of business capital, which assists traders in establishing and expanding their businesses. Explain three benefits and three limitations of this method of financing.

11. In spite of the popularity of Azam Products in Tanzania, the firm still advertises its products. In six points, explain why the firm keeps on advertising the products.